Owning the network: three questions

1

How does the rule define its terms?

Once the bank owns both sides, is there still an “interchange transaction fee” and a “payment card network”? Read the definitions carefully.

2

What does the rule do about workarounds?

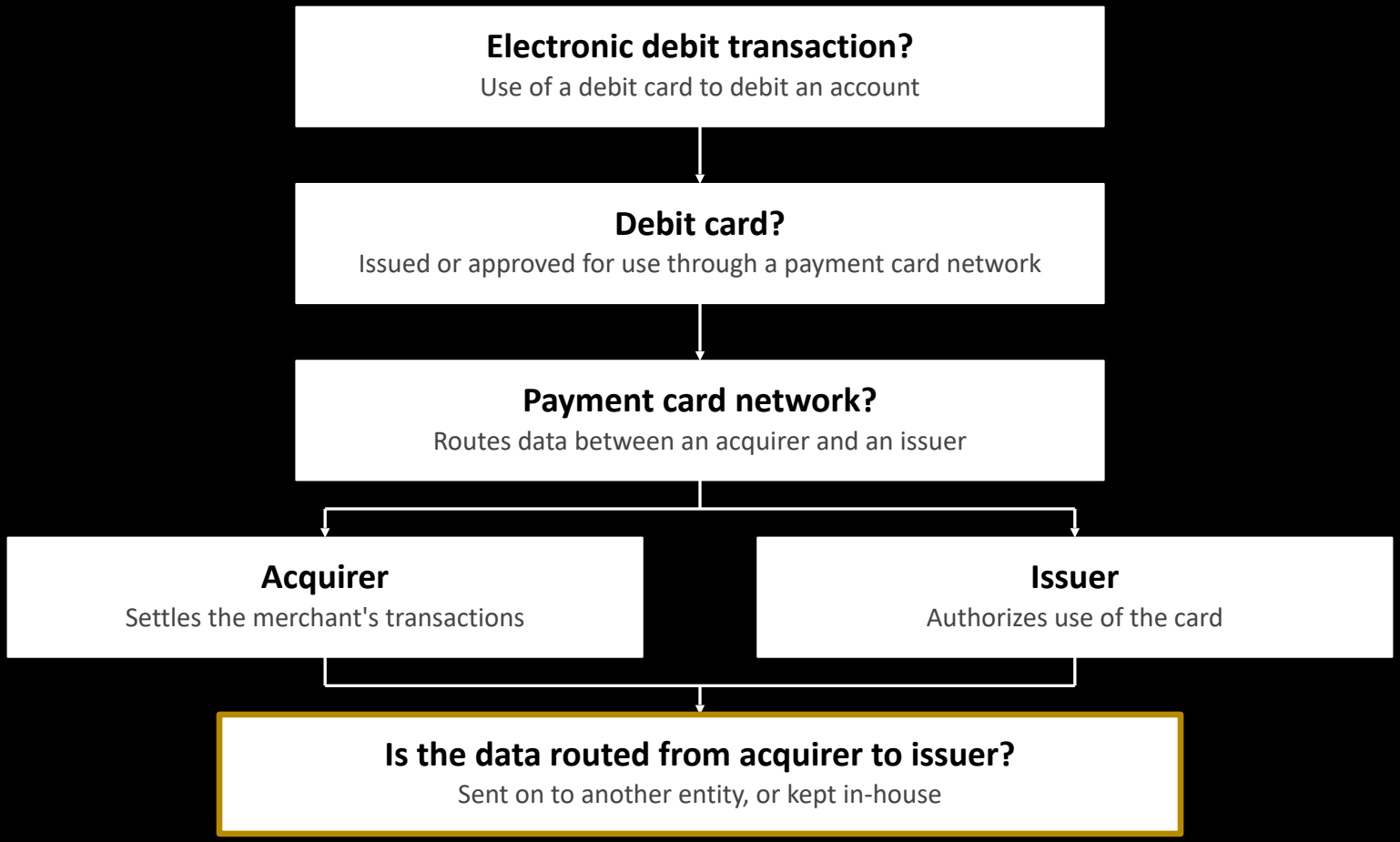
The Board anticipated that issuers would try to engineer their way around the cap. Find the provisions aimed at that.

3

Does structure change the answer?

One bank buying the network versus a consortium. Star and Accel were built as four-party networks; Discover was not. Does the rule support those distinctions?

Regulation II: how the definitions nest

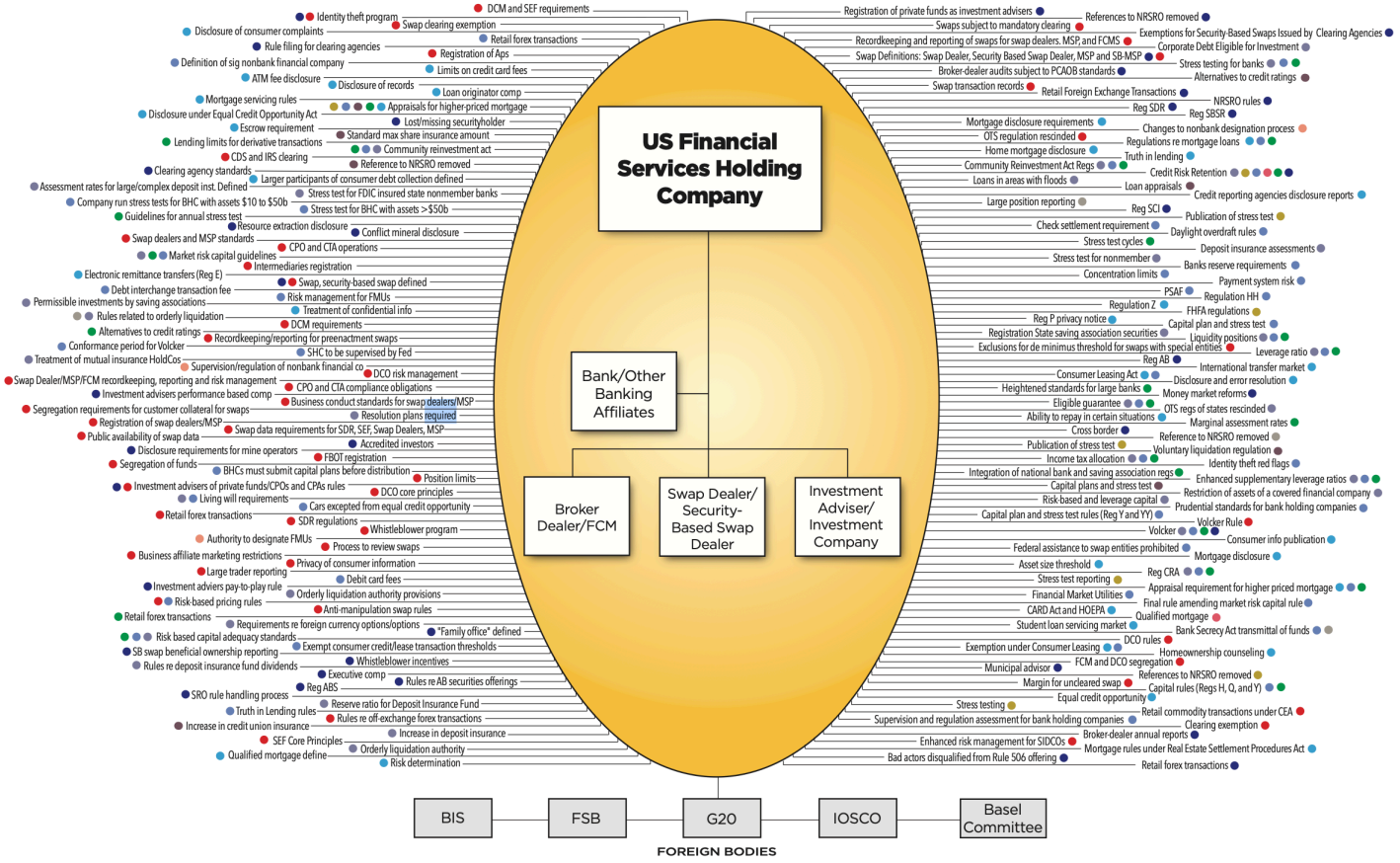


Who Regulates What Again?

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SEC Commissioner Daniel M. Gallagher

Rules Applicable to U.S. Financial Services Holding Companies Since July 2010



Relevant Regulators Not Depicted

- US SROs (e.g., FINRA, MSRB, NFA)
- Foreign country regulation of domestic activity
- US States

LEGEND

- SEC-Securities and Exchange Commission
- CFTC-Commodity Futures Trading Commission
- OCC-Office of the Comptroller of the Currency
- FDIC-Federal Deposit Insurance Corporation
- Treasury-Treasury Department
- CFPB-Consumer Financial Protection Bureau
- OFR-Office of Financial Research
- NCUA-National Credit Union Administration
- FSOC-Financial Stability Oversight Council
- FHFA-Federal Housing Finance Agency
- FRB-Federal Reserve Board of Governors
- HUD-U.S. Department of Housing and Urban Development
- FFIEC-Federal Financial Institutions Examination Council
- FinCEN-Financial Crimes Enforcement Network

Prudential v. Consumer Protection

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Rule Making

Enforcement

Supervision

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Banking v. Commerce

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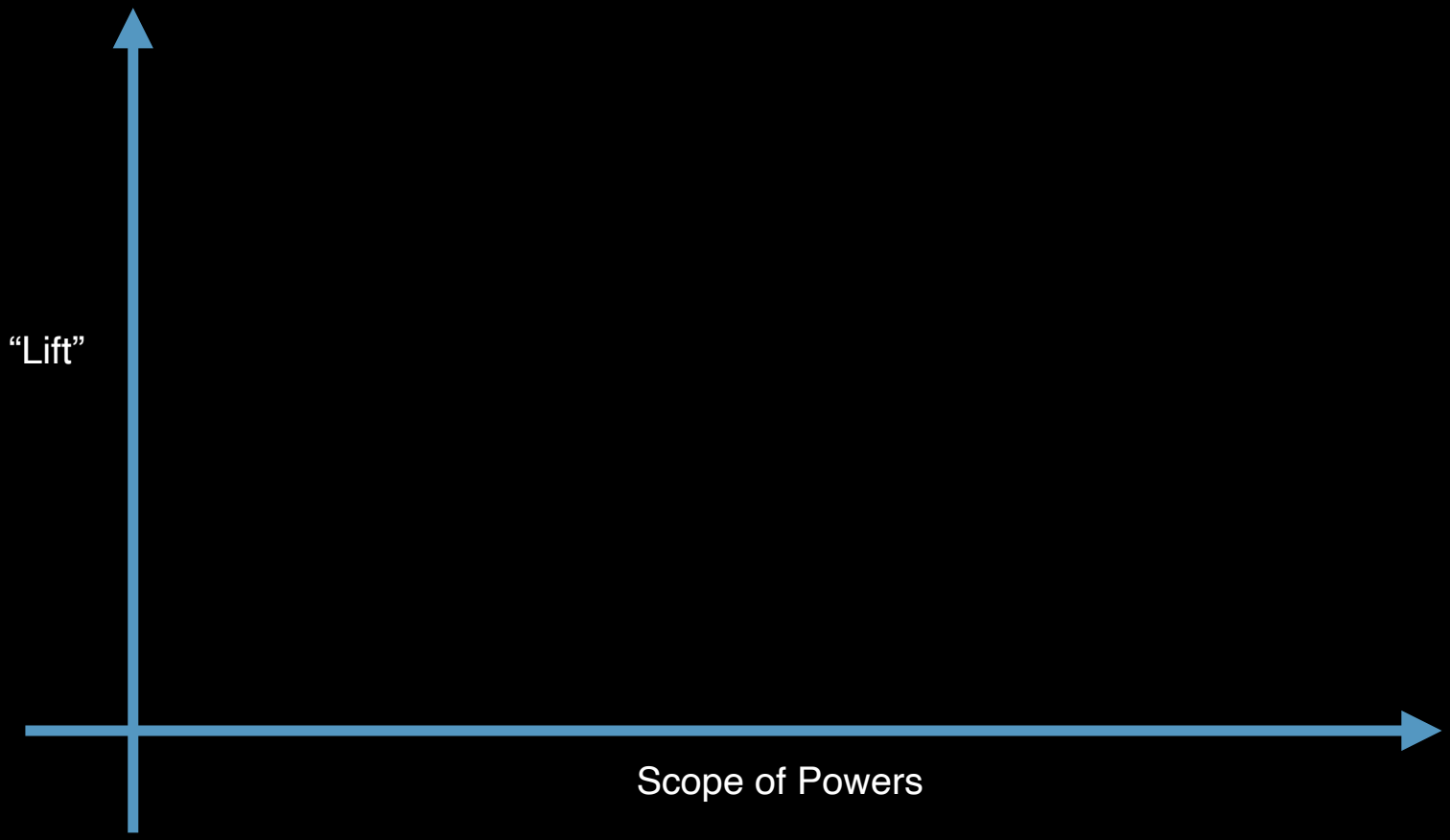
Banking v. Commerce

Bank Holding Company Act
Exclusively in the business of banking

A unique American problem

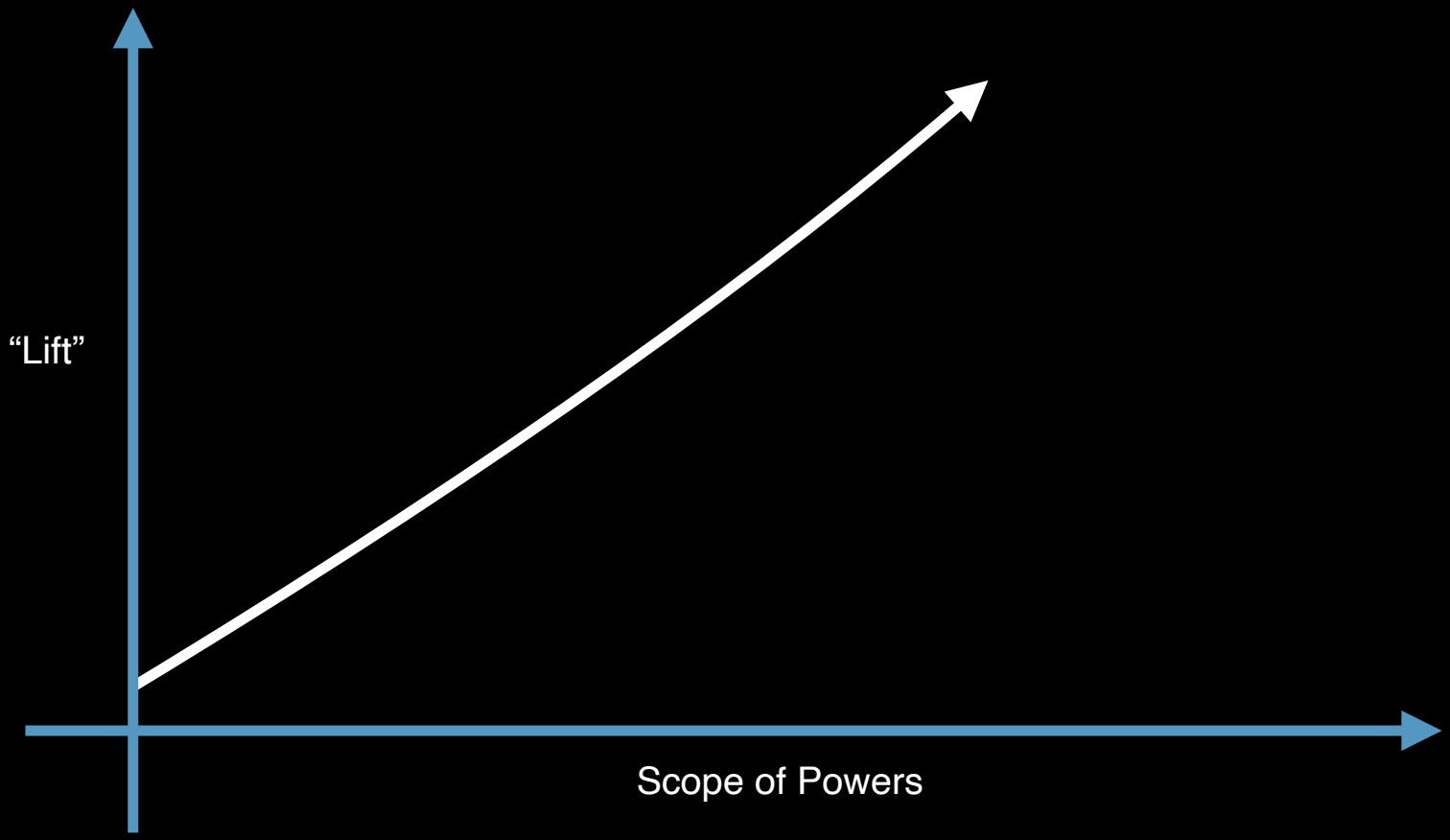
But what even is a “bank”?
Industrial Loan Companies (ILCs)
Credit card banks
Fintech Charters
National Trust Banks

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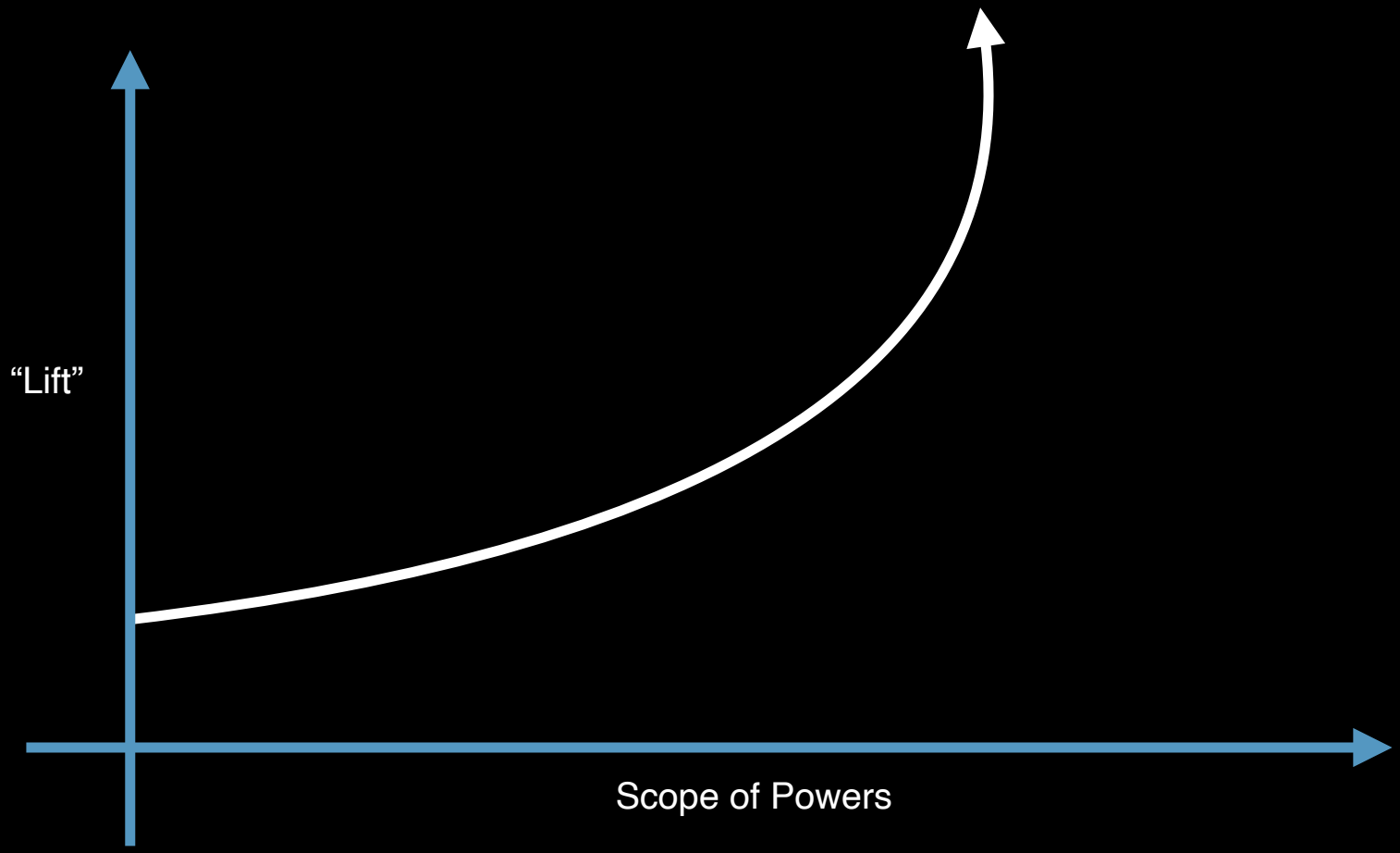
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Europe



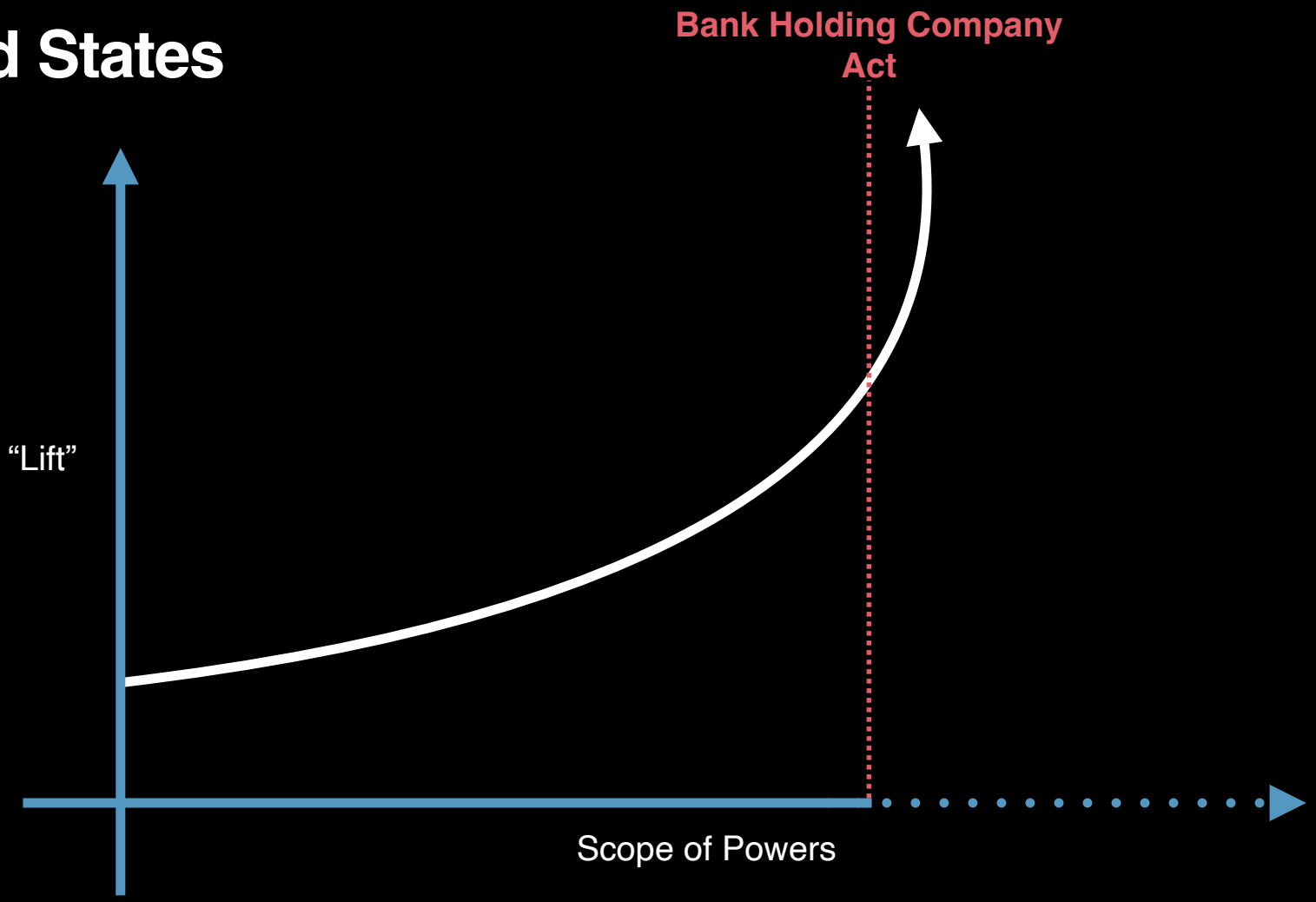
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United States

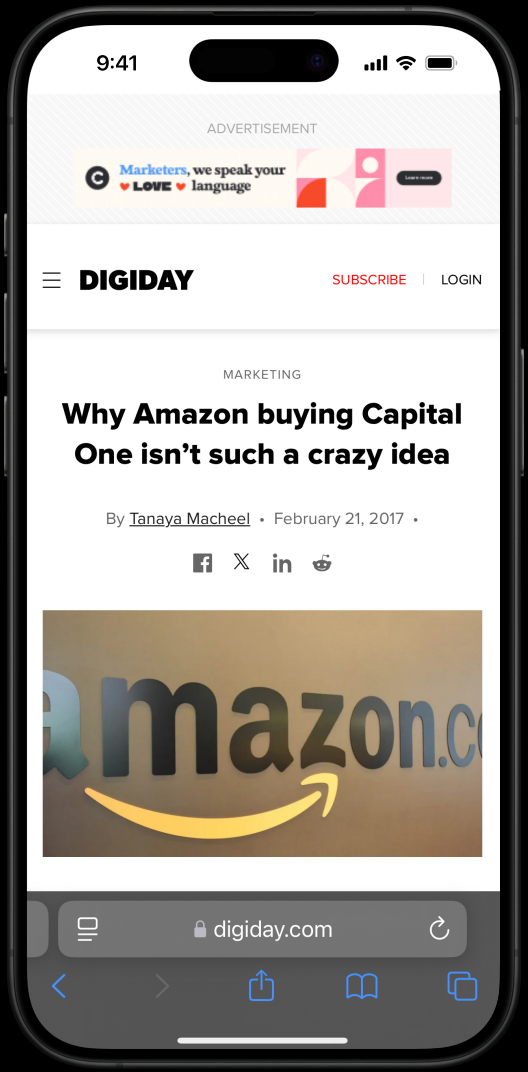


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United States



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Federal v. State

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State-Level

State banking departments

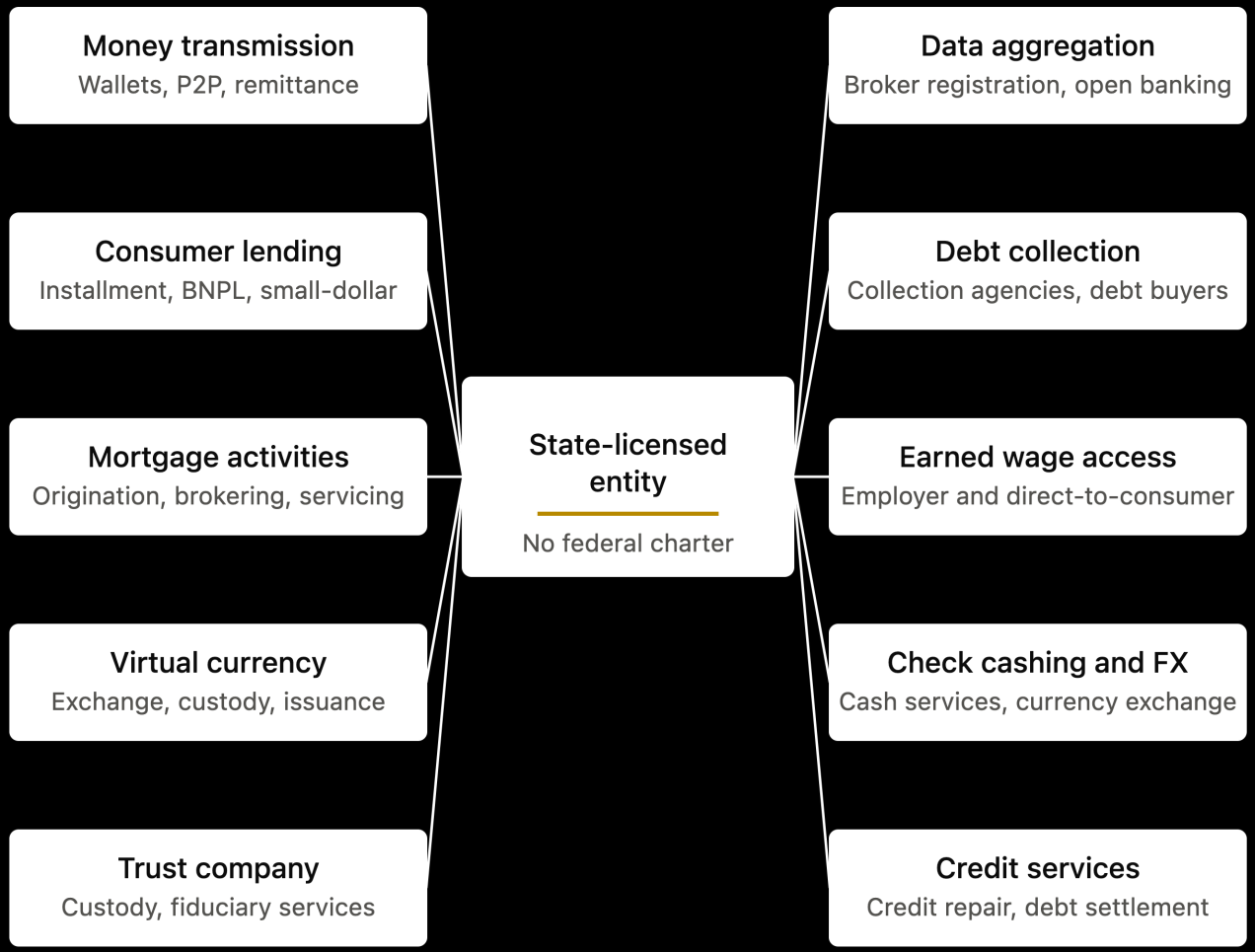
NY DFS

CA DFPI

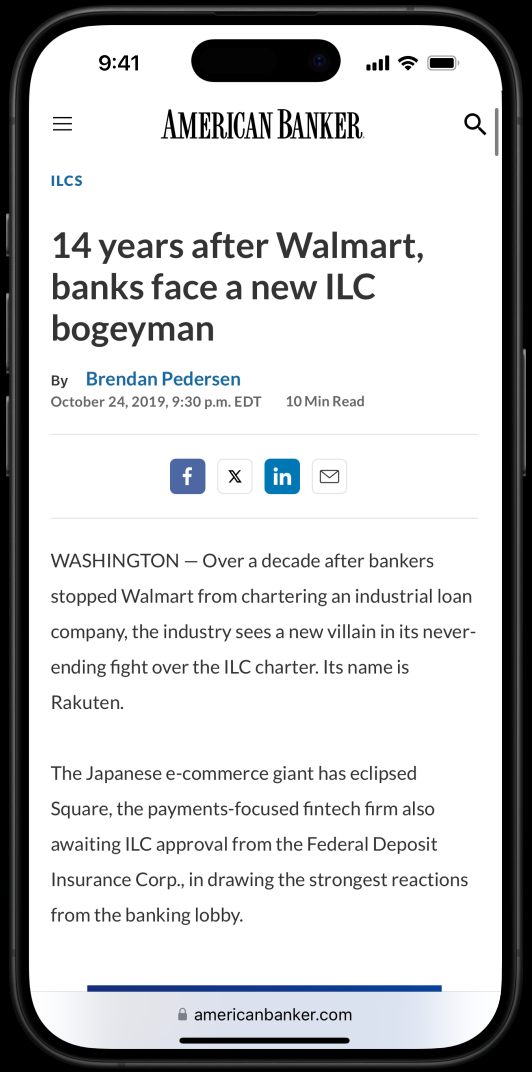
State Chartered Banks

State licensed activities

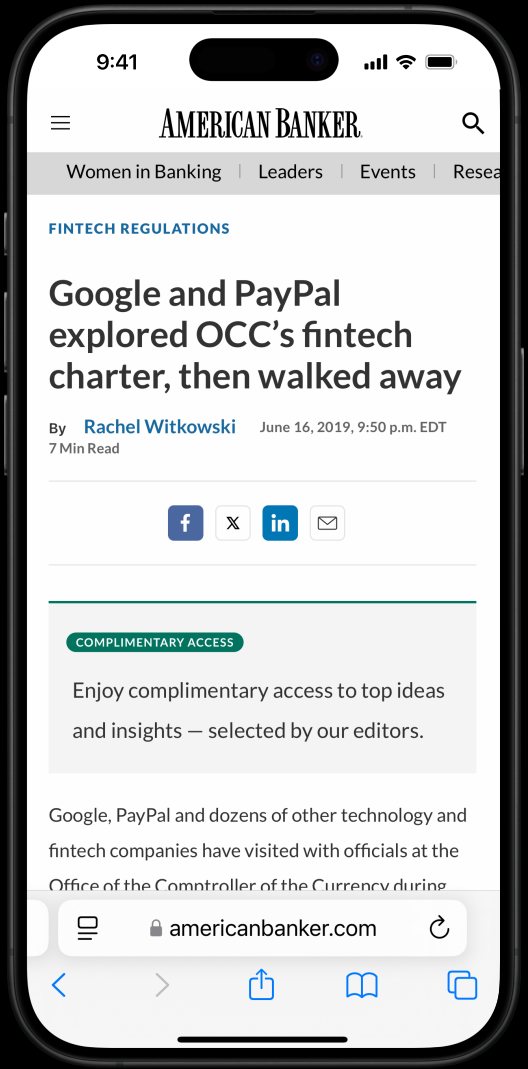
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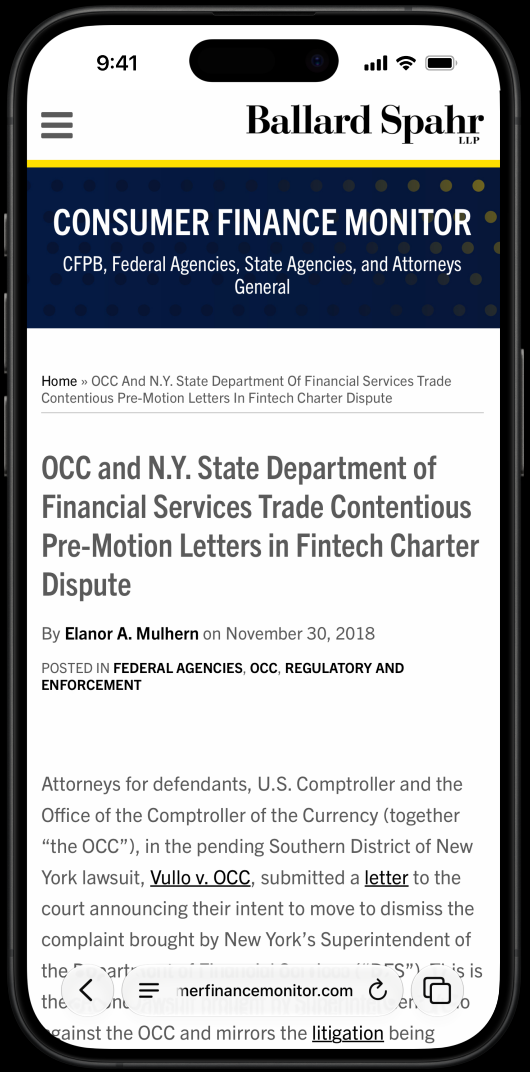
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CRYPTOCURRENCY

Trump Family's World Liberty Financial Gets Preliminary Approval to Launch a Bank

The Office of the Comptroller of the Currency gives the flagship crypto venture a conditional approval to be a trust bank



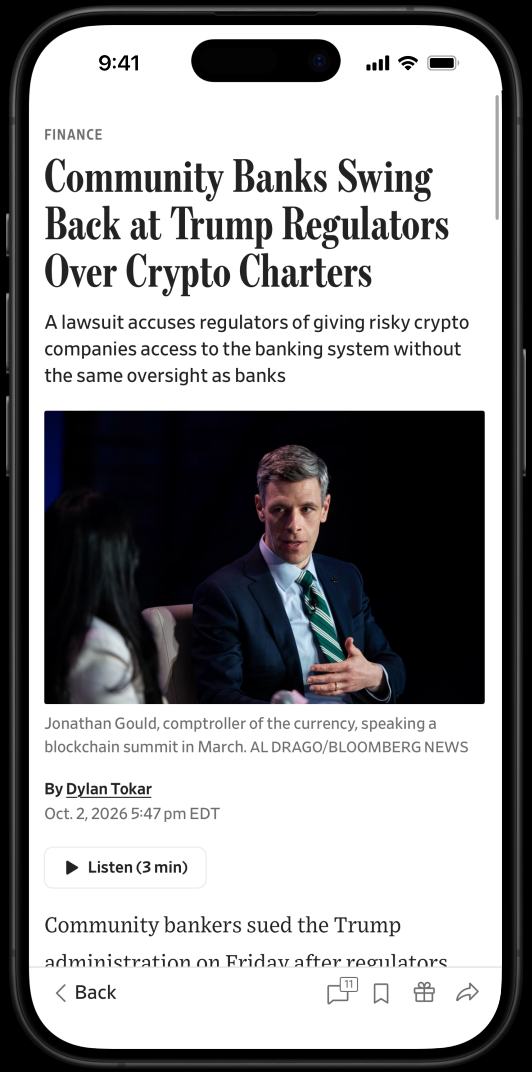
Donald Trump Jr. and Eric Trump of World Liberty Financial cheer outside the Nasdaq building after ringing the opening bell last year. EDUARDO MUNOZ/REUTERS

By Vicky Ge Huang
Updated Aug. 15, 2026 3:39 pm EDT

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Directly providing v. Partnerships

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